



This is how CCI looks. We see that the same is moving around 0 and takes positive and negative values. We can also define the time horizon for which we intend to generate the CCI. Here, we have used 20 periods which is the default setting for CCI. Whenever CCI turns positive from negative, it is the start of a bullish trend and that can act as a buy signal. Whenever we see that CCI turns negative, it is the start of a downtrend and that is a sell signal. This is how CCI can be used to generate signals. However, a drawback over is that in a sideways market, CCI produces a lot of false signals that can lead to losses. We need to create a trading strategy keeping this in mind.